

Effect of Budgetary Control System on Budgetary Performance of Managers: Evidence from Bangladeshi Manufacturing Firms

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ABSTRACT

The budgetary system is a dominant management accounting control mechanism in most companies worldwide with the vital functions of planning, controlling, and evaluating managerial performance. This research attempts to investigate the impact of the budgetary system configured by budgetary participation, budgetary goal difficulty, budgetary variance analysis, budgetary performance evaluation, and budgetary reforecasting on managers' budget performance. Responses were collected from 200 managers from different manufacturing firms in Bangladesh through a pretested questionnaire. The managers were responsible for forecasting, preparing, monitoring, and analyzing the variance of budgets. Collected responses were analyzed using multiple regression techniques. The results show that budgetary participation, budgetary variance analysis, budgetary performance evaluation, and budgetary reforecasts have significant positive effects on the budgetary performance of managers. Budgetary goal difficulty has a non-significant negative influence on the budgetary performance of managers. The research findings will help top managers construct a budget system with appropriate budgetary variables that can enhance the budget performance of managers to achieve the financial goals of their firms.

1. Introduction

A budget is a quantitative expression of a management plan for a defined period (Bhimani et al., 2008) that includes forecast revenues and expenses, assets, liabilities, and cash inflows and outflows (CIMA Official Terminology, 2005). The top managers of a company identify the financial objectives, such as sales, expenses, profit and the strategic objectives, like capturing a particular market share or cost leadership (Sponem and Lambert, 2015). They translate those objectives into periodic operational goals. To achieve those goals, they authorize the respective unit (Revenue Centre, Cost Center or Investment Center) manager with financial resources and also project certain financial resources in return. Therefore, primarily budgets reflect planned inflows and outflows of financial resources to each company's unit to achieve its desired financial and strategic objectives.

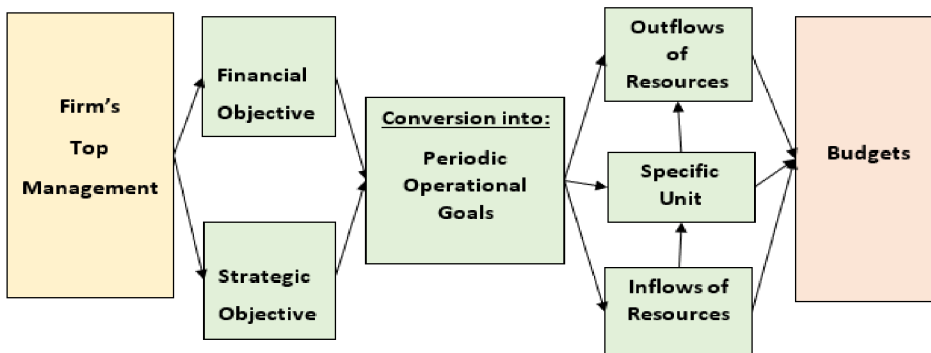


Figure-1: Comprehending Budgets

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The budgetary system communicates those goals to different unit managers of the company and ensures coordination among the various units to work as a whole together (Churchill, 1984). In the implementation stage, the data in an operational budget is used as a benchmark to compare with the unit's actual results (Barret and Fraser, 1977). The budget report, which presents the comparison between actual results with planned targets, is known as budgetary control (Weygandt et al., 2015). Top managers propose corrective measures to deal with unfavorable variances, if any, between actual performance and performance planned throughout the budgetary period. In the feedback stage, responsible managers are evaluated based on budget performance (Sponem and Lambert, 2015).

The budgetary system is a dominant management accounting control mechanism in most companies worldwide with the vital functions of planning, controlling, and evaluating managerial performance (Henttu-Aho and Jarvinena, 2013). Many issues underlie the budgetary system and concern managers, such as: Should a budget be prepared primarily by managers at the operational level or top level? What should be the level of influence of the budgetary managers in determining budget goals? How firm should a budget be in terms of the achievability of its goals? How much importance should top-level managers give to compute variance between budgeted figures and actual figures? Should the budgeted figures remain fixed for a year, or should there be many forecasts throughout the year? To what extent should top managers evaluate managerial performance based on achieved budget targets? (Atkinson, et al., 2014; Churchill, 1984). In response to the above issues, behavioral theorists suggest a high of a degree of budgetary participation (BP), a challenging level of budgetary goal difficulty (BGD), high emphasis on budgetary variance analysis (BVA), rolling forecasts (BRF) in changing market environment and increased emphasis on budget-based evaluation (BPE) to ensure higher unit performance (Locke & Latham, 2006; McClelland, 1961; Robbins & Judge, 2018). These budgetary characteristics vary from company to company and budgetary variables are configured to the unique budgetary system of the respective company (Sponem and Lambert, 2015).

Although there is wide use of the budgetary control system, practitioners focus on four problems: (1) time consumption and cost; (2) inaccurate estimates because of frequent and rapid changes in the market environment; (3) budgetary slack created by evaluating performance using the budget. (4) unhealthy competition among departments caused by budgetary targets, which makes the firm worse off (Arnolds & Artz, 2017; Horngren et al., 2009; Hope & Fraser, 1997). Some empirical studies prove that the budgetary system that creates dysfunctional behavior is unsatisfactory (Radu, 2011); others mention budgets as "shredden" (Jensen 2001), very traditional, or destructive (Wallander, 1999), and so budgets should be discarded. They come up with a beyond budgeting alternative (Henttu-Aho and Jarvinena, 2013; Hope and Fraser, 2003). Still, the budgetary system is quite relevant and continues to be used by most companies worldwide (Libby and Lindsay, 2010).

2. Problem Statement

Budgetary researchers have exerted effort to find the causes of limitations and dissatisfaction with the budgetary system. They have studied the effect of various budgetary constructs, such as budgetary participation, budgetary goal difficulty, budgetary variance analysis, budgetary reforecasts, and budgetary performance evaluation on managerial performance. The significance of budgetary research is to help the top management incorporate the budgetary variables that positively affect performance and avoid the variables with negative effects. But their findings are conflicting and inconclusive (Dorfuss, 2009; Hartman, 2000 & Sponem and Lambtr, 2015). We have identified some aspects of budgetary research that should be addressed. First, most researchers have failed to relate budgetary variables (independent variables) with appropriate outcome variables and the budgetary performance of managers, which is the ultimate goal of an organization. Agency theory seeks to ensure that the budgetary system should achieve the company's financial and strategic objectives (Namazi, 2013). They have measured managerial performance by using a scale developed by Mahoney et al. (1963) that focuses on eight performance dimensions of a manager, namely: planning, investigating, coordinating, evaluating, supervising, staffing, negotiating and representing. Thus they have identified performance from a manager's individual perspective instead of the organization's: what a manger is assigned to achieve in terms of financial and strategic goals such as profitability, sales growth and cost-effectiveness given as periodic targets in the budgets. Next, most studies have investigated one budgetary variable ignoring others, although the budgetary system is a configuration of design and use of characteristics (Sponem and Lambert, 2015), such as budgetary participation, budgetary goal difficulty, budgetary variance analysis, budgetary performance evaluation, and budgetary reforecasts that vary among organizations. Then, very few studies have been conducted in developing countries (Dorfuss, 2009). So far there has been no study on budgetary systems of corporates in Bangladesh.

3. Rationale of the Study

The findings of the study: (1) provide a better picture of the effectiveness of the budgetary system as a management accounting control tool by building a robust relationship between budgetary control systems and organizational end goals. Hence, the study undertakes five budgetary constructs as predicted variables and budgetary performance of managers as an outcome variable; (2) facilitate top management formulating the budget system that will lead managers to be congruent with the organization's ultimate financial and strategic goals; (3) show the practical implications of agency theory through budgetary control systems; and (4) make a decisive contribution to budgetary research literature in the context of Bangladesh.

4. Literature Review and Hypothesis Development

4.1 Budgetary Participation and Budgetary Performance of Managers

Robbins & Judge (2018) have defined participation as “A process in which subordinates share a significant degree of decision-making power with their immediate superiors” Budget participation is an important aspect of the budgetary system (Hartman, 2000) introduced in 1930 against imposed budgets (Becker & Green, 1962) in budgetary planning. Participative budgeting is a joint decision-making process where all relevant parties accept the budget targets that have a future effect on the performance evaluation of those making them (Becker & Green, 1962). Lee & Wei (2011), in their Chinese study, found increased team outcome due to participation in setting goals. Participation enables employees to share critical information regarding their jobs that enhance their performance (Atkinson, et al., 2014). Argyris (1955), an early researcher, cited many executives, consultants and research scientists in agreement that the positive effect of employees' participation in formulating budget on their attitudes led to better performance. Becker and Green (1962) stated that, by 1930, business circles talked against imposed budgets because these created dissatisfaction among employees, so they proposed participation in budgeting that would lead to higher morale and better initiatives. They agreed that participation was a useful technique to increase employee performance. Participation is a widely recommended managerial style to enhance performance, but in reality, this is not a universally held viewpoint (Brownell, 1982b). Argyris (1952), perhaps one of the most cited early researchers on budgeting, identified that acceptance of budgetary goals through participation is key to managers' better performance. By contrast, Stedry (1960) reported that an imposed budget led to higher productivity than a participatory one.

Bass & Leavitt (1963) conducted three separate experiments on managers and supervisors in US companies and concluded that there was a strong positive association between participative planning and job performance. They found higher productivity where supervisors acted on plans set by themselves. In their experimental study, they found that participation in budgeting had a significant positive effect on productivity and morale. Bryan and Locke (1967) reported a negative correlation between budgetary participation and managerial performance. In their study, they observed that non-participating groups outperformed over-participating groups. Participation had a positive impact on employee performance in highly uncertain situations but hindered performance in low-uncertainty ones (Govindarajan, 1986). Onsi (1973) undertook research on seven largemultinational corporations with major divisions in Upstate New York and reported that imposed budgets created job pressure to meet the budget goals that led to building up budgetary slack to make the goals attainable. So, he suggested that budgetary participation would reduce padding budgets and enhance output. Milani (1975) reported a weak relationship between budgetary participation on performance. Budget participation is a way to exchange information that is useful for employees to obtain a clearer understanding of their goals, which ensures their performance (Hopwood, 1976).

One of the most cited pieces of research in the literature on budgetary research, Kenis (1979) conducted a study on managers and controllers with budget responsibilities in New Jersey and found a significant positive effect through participation on managers' performance. Brownell (1981) is the researcher, perhaps, with the highest number of articles on budget. In his lab experimental study, Brownell (1981) found an insignificant positive effect of budget participation on job performance. But he found a significant effect among employees who felt that they had the ability to direct their success. In the field study to verify his previous lab experiment, Brownell (1982b) administered a survey among 48 mid-level managers in big manufacturing companies in the USA and reported that participation in the budgetary process had a strong positive effect on employee performance. He also found that the internal locus of control strengthened the effect. Brownell (1982a), in his literature review, showed that the associations between participation and performance were conflicted due to various contextual factors. Brownell (1983) found that participation had a significant positive association between participation and performance under considerate leaders, but he found no such association under traditional, top-down leadership. Brownell (1985) used two distinct functional areas as contextual variables and found that budget participation was negatively associated with marketing departments' performance and positively associated with R & D departments, but the results were not significant.

Almost consistent with his previous studies, this showed differences in the effects of budget participation on the two functions differed significantly in terms of the complexity of the environments they faced. Brownell and McInnes (1986) studied the effect of participation on performance through motivation and found it insignificant, but he also found a direct significant positive effect of participation on performance. He argued that this positive effect might be due to budgetary slack built in by participants to attain their budgetary goals. Merchant (1985) reported that participation reduced managers' propensity to create slack by reducing employees' defensiveness.

Chenhall and Brownell (1988) reported a weak positive association between participation and performance under zero-order correlation but found this to be negative through the indirect effect of role ambiguity. Brownell & Dunk (1991) reported a positive relationship between budgetary participation and job performance under low or high task uncertainty. Chehall & Brownell (1988) found that budget participation had a significant correlation with performance (i.e., significant at .10 not significant at .05). Mia (1989) reported that participation positively affected managerial performance while job difficulty was greater, but participation was less effective when job difficulty was low. He argued that participation enabled managers to clearly understand their job by exchanging information regarding the task, thereby improving managerial performance. Dunk (1989), who conducted his survey on production managers of consumer goods manufacturing products located in Britain, found the opposite result to Brownell (1982) (Brownell & Hirst, 1986), to wit that participation had no significant positive effect on performance. He undertook similar measurements as those taken by Brownell. Dunk (1989) reported that budget participation influenced managerial performance positively, but the influence was insignificant. His study was based on managers of manufacturing companies in the UK. Surprisingly, Dunk (1993) reported a significant positive association between participation and performance of managers randomly selected from manufacturing companies in Sydney, Australia.

Govindarajan (1986) reported a significant effect of budgetary participation on managerial performance under high task uncertainty. Chenhall & Brownell (1988) found that participation had a marginally positive effect on job performance but positively affected it by reducing role ambiguity regarding the budget role, methods to achieve the role, and the consequence of role performance. He also argued that participation has no theoretical relationship between participation & performance. Mia (1988) found that the relationship between participation and managerial performance was dependent on employees' internal characteristics. In this study of managers of profit centers in a large Australian firm, he found that participation was affected positively. Managers held favorable attitudes and high motivation. In contrast, a non-participation budgetary style that went with employee attitude and motivation achieved better managerial performance. Dunk (1990) reported in a study on UK managers that the association between participation in budget setting processes and managerial performance was significantly positive. He also argued that participation might facilitate superior managers' ability to access subordinate managers' information. Dunk (1993) conducted a study on managers of manufacturing companies in Sydney and found a strong positive correlation between budget participation and job performance. Budgetary research was also extended from industrialized countries such as USA, UK and Australia, etc., to an industrializing country, namely Mexico.

Frucot and Shearon (1991) conducted a study on Mexican managers where they found that budgetary participation was negatively correlated with overall managerial performance. Orpen (1992), in his study on Australian managers, found that participation relatively increased performance in case of a more difficult job than an easy or routine one. Lau et al. (1995) reported a strong and significant negative effect of budget participation on managerial performance among Singaporean manufacturing company managers. Nouri (1994) conducted a study on American corporation managers and reported a strong positive association between participation and job performance. He also argued that participation increased job support in terms of adequately budgeted resources to fulfill the requirements of the job and created job commitment. As such, we propose the following hypothesis,

Hypothesis-1 (H1): There is a positive association between budgetary participation and the budgetary performance of managers.

4.2 Budget Goals Difficulty and Budgetary Performance of Managers

Budgetary goals are a vital component of managerial accounting control in every firm (Luft & Shields, 2003). Goal-Setting Theory suggests that difficult but attainable targets increase performance. (Robbins & Judge, 2018; Locke, 1968). McClelland's Theory of Needs also confirms that challenging targets impress high achievers to perform better (Robbins & Judge, 2018; McClelland, 1961). Arnold & Artz (2017), in their study on corporate managers in the largest German firms, found that difficult goals had a positive effect on firm performance. Researchers used the concept of "budget goals difficulty" or "budget goals tightness" or "tightness of budget goals" interchangeably to mean budget targets that were perceived to require serious effort and efficiency in the achievement of the goals (Simons, 1988). Locke and Bryan argued that more challenging goals motivated supervisors to perform better. Budgetary goal difficulty is a powerful motivator for achievers (Hopstede & Hendrik, 1967). They argued that there should be a difference between budgetary standards and performance expected and used to coordinate budgets as an accounting system.

One of the earliest studies was an experimental study done by Stedry (1960), who found that an employee's performance was better where budget goals were tighter or higher. In their experimental study, Locke and Bryan (1966) found that specific, challenging goals increased performance levels more than when supervisors were asked to do their best. Hopstede and Hendrik (1967) proposed budget goal difficulty as an influential variable to the budgetary construct for better employee performance. As the need for achievement is a powerful motivator, he argued that budgetary standard would function as a standard for success if the standard was too high so that there was a real risk to attainment. Kenis (1979) found that there was no association between budgetary goal difficulty and employee performance. Simon (1988), in his study on managers of Canadian firms, reported a significant positive association between tight budget goals and firms' return on investment (ROI). He proved that tight budget goals were an appropriate remedy to deal with managers' building of budget slack by measuring performance in terms of ROI instead of taking an individual's managerial performance as a measurement. He meant budget slack as "the outcome of setting easily attainable budget goals so that individuals receive organizational rewards for performance below the level that would be expected if goals were tightly set". Hirst and Lowy (1990), in a study on managers of a corporation, found that budget goal difficulty alone had a negative effect on budgetary performance. He also reported no association between budget goal difficulty and overall job performance. Lau, et al. (1995) reported an insignificant effect of budgetary goal difficulty on job performance in Singaporean manufacturing companies' managers. Therefore, we propose the following hypothesis:

Hypothesis-2 (H2): There is a positive relationship between budgetary goal difficulty and the budgetary performance of managers.

4.3 Budgetary Emphasis (Budgetary Variance Analysis and Budgetary Performance Evaluation) and Budgetary Performance of Managers

Sandalgaard & Nielsen (2018) reported a positive effect of budgetary emphasis on the performance of firms. Budget emphasis, also known as budgetary control, means strong monitoring of and guidance towards achieving the budgetary targets set by top managers and the performance of responsible managers is measured by targets set in the budgets (Van der Stede, 2001). Budget emphasis can be divided into two variables: budget variance analysis in the implementation stage of budget and budget-based performance evaluation of respective managers in the feedback stage of the budgetary system (Sponem and Lambert, 2015). Budgetary variance analysis looks at comparing the actual performance of budgetary goals with forecasted goals, and suggests top managers take corrective action thereby (Emsley, 2001). Unit managerial performance is evaluated based on the variance report in the budgetary system (Kenis, 1979; Sponem and Lambert, 2015). They also found that there was a positive effect of budgetary variance analysis and budgetary performance evaluation on budgetary performance of managers and the result was significant.

The debate regarding the budgetary system started when corporates adopted the budget as a style to evaluate managerial performance. Hopwood (1972) was one of the earliest researchers who conducted his study on supervisors in one manufacturing department of a major Chicago-based firm. He argued that heavy budget emphasis was dysfunctional in falsifying accounting records and detrimental to its managerial performance and long-term interest. Otley (1978) reproduced Hopwood's study and reported no significant relationship of the budgetary style of evaluating managers' and employees' dysfunctional attitudes. He suggested that a higher budget emphasis was useful for better performance. Brownell (1982) reported a weak positive effect of high-budget emphasis on job performance (that is, the impact is significant at p less than .10). Brownell (1985) found no significant association with budget emphasis, specifically reliance on accounting information and managerial performance. He suggested that budget emphasis is not appropriate in marketing and R&D departments. Brownell and Hirst (1986) reported that there is no significant relationship between high-budget emphasis and job performance. But there is a weak negative relationship with managerial performance. Merchant (1985) argued that high-budget emphasis led employees to create slack to respond to the concern not to incur budget overruns. Hirst (1987) found a negative but non-significant effect of the budget emphasis on managerial performance in non-manufacturing firms. Dunk (1989) found a weak negative relationship between budget emphasis and managerial performance. Hirst and Lowy (1990) found that association between budget emphasis and budget performance is significantly negative. He also found no association between budget emphasis and the firm's overall performance. Lau et al. (1995) reported that budget emphasis negatively affects the managerial performance of Singaporean firms. So, we propose the following hypotheses:

Hypothesis-3 (H3): There is a positive relationship between budget variance analysis and the budgetary performance of managers.

Hypothesis-4 (H4): There is a positive relationship between budgetary performance evaluation and the budgetary performance of managers.

4.4 Budget Re-forecasts (Rolling Budgets) and Budgetary Performance of Managers

In response to budget criticism that budgets are unable to forecast changing market reality (Hope and Fraser, 2003), another budgeting characteristic that emerges that has attracted the interest of researchers is ‘budget re-forecast’ - defined as the existence of a re-forecast during the year - when firms want to combine the advantages of a rigidly set budget with frequent re-forecast (Sponem and Lambert, 2015) to cope with environmental volatility. The rolling budget is prepared for 12 months, and after 3 months, a re-forecast happens, and the budget is prepared for another 12 months. Thus, an additional quarter is added at the end of each quarter (Churchill, 1984). Ekholm and Wallin (2000) argue that companies improved their budgets with frequent forecasts to enhance operational targets and budgetary performance. Budget re-forecast has a positive association with improved operational planning and budgeting performance (Hansen and Stede, 2004). Budgetary re-forecast captures the changing business environment to ensure better financial performance of a business organization. Budgetary re-forecast has a positive influence on budgets (Sponem and Lambert, 2015). So, we propose the hypothesis below:

Hypothesis-5 (H5): The effect of budget re-forecast on the budgetary performance of managers is positive.

5. Research Objectives

The objective of the present study is to investigate the impact of the budgetary system represented by budgetary variables, such as budgetary participation, budgetary goal difficulty, budgetary reforecasts, budgetary variance analysis and budgetary performance evaluation on budgetary performance of managers.

6. Conceptual Framework of the Research

Conceptual framework is the blueprint that connects the budgetary system-treated as the independent variable-to the budgetary performance of managers, which is the dependent variable. The framework takes the ideas from the literature review and turns them into a model that can be tested. This model includes five independent variables (Budgetary System) and one dependent variable (Budgetary Performance of Managers) linked by five proposed relationships labeled H1 through H5.

The authors intentionally picked Budgetary Performance of Managers (BPM) of the general term "managerial performance" (as measured by Mahoney et al., 1963). Their reason mentioned in the Problem Statement is that earlier studies looked at performance from "a managers' perspective instead of the organizations." BPM on the hand shows what a manager is expected to reach in terms of financial and strategic goals. Profitability, sales growth and cost-effectiveness. Based on set budget targets. This decision matches agency theory (Namazi, 2013) which says the budget system should help the company reach its strategic goals. BPM therefore shows the "goal of an organization."

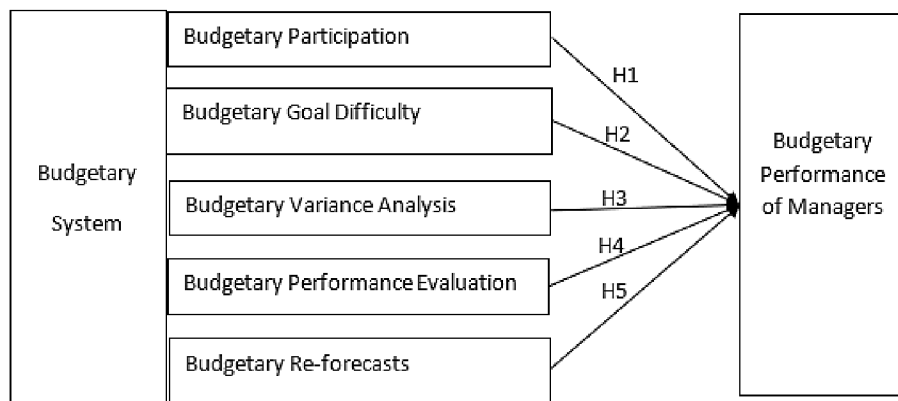


Figure-2: Conceptual Framework

On the left side of Figure-2 is the Budgetary System, a particular configuration of 5 different characteristics. The budgetary system is not a particular variable, but a “configuration of design and use of characteristics” (Sponem and Lambert, 2015). Thus, the different companies combine these variables in different ways to arrive at their own budgetary system. The five components are:

Component	Definition
Budgetary Participation (BP)	The degree of influence operational managers have in determining budget goals; a joint decision-making process
Budgetary Goal Difficulty (BGD)	The likelihood of a budget manager meeting the budget targets set; perceived tightness of goals
Budgetary Variance Analysis (BVA)	Comparison of actual performance with forecasted goals, prompting corrective action
Budgetary Performance Evaluation (BPE)	The extent superiors rely on budgets to evaluate and reward operational managers
Budgetary Reforecasts (BRF)	The frequency of re-forecasting during the year (rolling budgets) to cope with environmental volatility

Figure-3: The Independent Variable Construct: The Budgetary System

The idea behind the conceptual framework (Figure-2) is the part of the research. It takes the budgeting system. Breaks it into five things that can be measured. It shows BPM as the result that matters for the organization. It also lists five ideas that can be tested. These ideas come from theories about behavior setting goals giving feedback, being responsible and adapting to situations. The framework also adds some controls to make sure that the way budgets are designed is separate from how they're used. The main thing this framework does is look at the budgeting system in a way that focuses on results. It goes beyond studying one thing at a time or looking only at individual performance. It wants to see how the whole budgeting system helps managers reach the strategic goals of the organization.

The conceptual framework presented in the paper contains three main ideas.

First, the budgetary system is multifaceted – in contrast to the practice of the authors of previous studies, which focuses on testing a single variable in isolation, the framework tests five variables, which comprise the budgetary system. Each of these elements was tested in separate models (Equations 2-6) and in combination in one model (Equation 7).

Second, the link between the elements of the budgetary system and organizational performance was tested through the prism of the agency theory. Thus, according to BPM, the firm's performance is the result of the fulfillment of the budgetary targets set for the period, and not the individual performance of the manager. In other words, the focus was made on the agency problem, namely, on the alignment of the interests of the manager and owner of the firm.

Third, the framework resolved the inconsistency between the results of the previous studies by testing the impact of all variables in the same model while controlling for the effect of the budgeting purpose (Managerial Budget, Strategic Budget, and Administrative Budget). Thus, the factors that improve organizational performance were separated from the factors that do not affect performance.

7. Research Methodology

7.1 Sample

The study's target population was managers in production, marketing and finance who have budget responsibility for cost, revenue and investment centers. A questionnaire was prepared and tested with professionals and academics to clarify the questions in the survey, increasing understandability and reducing ambiguity (Sponem and Lambert, 2015). Proper adjustments were made in response to the feedback from the testers. The questionnaire was pre-tested with 30 participants from target populations to ensure appropriateness, clarity and understandability (Perneger, et al., 2015). After due modification of some words for better understanding, the questionnaire was converted into a google doc. questionnaire format.

The questionnaire was uploaded into google drive with email links. I sent approximately Six hundred questionnaires to production managers, marketing managers and finance managers in various manufacturing companies. I received 236 responses and, so, the response rate was 39.34%. On scrutiny, I found 36 responses incomplete and 200 responses complete. Table 1 below displays the descriptive sample statistics.

Table 1: Sample Descriptive Statistics

Organizations: Manufacturing Companies

Respondents: Managers	Number of Responses	% of Total Responses	Sex		Age		Duration in position	
Finance	77	38.3%	Female	7.4%	Upto 30	7.4%	Lowest	2yrs
Accounts	73	36.7%	Male	92.6%	30-40	30.9%	Highest	12yrs
Marketing	50	25%	Total	100%	41-50	46.3%	Average	4.5yrs
Total	200	100%			Above 50	15.4%		

7.2 Variable Measurements

Table 2: Descriptions of the measurement items

Variables	Number of Questions	Reference
Budgetary Participation (BP): To measure operational managers' influence on budgets	Four questions with a five-point Likert scale ranging from strongly disagree (1) to strongly agree (5)	Milani (1975); Sponem & Lambert (2015)
Budgetary Goal Difficulty (BGD): To measure the likelihood of a budget manager meeting the budget targets set.	Two questions with a five-point Likert scale ranging from strongly disagree (1) to strongly agree (5)	Van der Stede (2001); Sponem & Lambert (2015)
Budgetary Variance Analysis (BVA)	Three questions with a five-point Likert scale ranging from strongly disagree (1) to strongly agree (5)	Van der Stede (2000); Sponem & Lambert (2015)
Budgetary Reforecasts (BRF): To gauge the frequency of forecasting.	Two questions with a five-point Likert scale ranging from strongly disagree (1) to strongly agree (5)	Van der Stede (2001); Sponem and Lambert (2015)
Budgetary Performance Evaluation (BPE): To measure the extent superiors rely on budgets to evaluate the performance of operational managers and rewarding them.	Six questions with a five-point Likert scale ranging from strongly disagree (1) to strongly agree (5)	Van der Stede (2001); Sponem and Lambert (2015)
Budgetary Performance of Managers (BPM): To measure the managers' budgetary performance in their respective units.	A five-point Likert scale is used in three questions ranging from very low (1) to very high (5)	Hansen and Stede, 2004 (Modified)

Note: The items of the survey questionnaire were slightly modified to make them clear and understandable.

7.3 Control Variables

Hansen and Stede (2004) argue that budgets are used for various reasons (such as planning of a firm's operations, evaluation of managers' performance and formation of strategy). The performance of different purposes of budgets is also related to relatively different budgetary characteristics. He (2004) finds that the budget uses affect budgetary performance of managers. According to Sponem and Lambert (2015), a budget can be focused on playing a managerial role (evaluating managers, incentivizing them, defining responsibilities and contractualizing commitment); a strategic role (implementing strategy, forecasting financial needs, and coordinating business activities); an administrative role (authorizing spending and allocating resources); and communication of financial projection to external stakeholders (shareholders and creditors). This study measured four focus roles of budgets and found the fourth role, communication to external stakeholders, insignificant because of low factor loadings. So, the study adopted three main reasons-to-budget, such as Managerial Budget (MB), Strategic Budget (SB), and Administrative Budget (AB) as control variables. The control variables have been duely measured on a five-point Likert scale (Sponem & Lambert, 2015).

7.4 Model Specification

The study primarily attempts to examine the effect of budgetary systems on budgetary performance of managers; essentially, this study specifies the following linear model:

$$\text{Budgetary Performance of Managers} = C + \text{Budgetary System} + \text{Budgeting Purpose} + \epsilon \quad (1)$$

Where, budgetary performance of managers (BPM) represents the dependent variable. C represents a constant term, budgeting purpose is proxied by (MB), (SB), and (AB) that are the control-level determinants, and ϵ is the error term. Budgetary System indicates the explanatory variables.

This study uses five alternative variables to represent a budgetary system, namely: individual independent variables in each of the alternative models.

$$BPM = C + BP + MB + SB + AB + \epsilon \quad (2)$$

BP is Budgetary Participation.

$$BPM = C + BGD + MB + SB + AB + \epsilon \quad (3)$$

BGD is Budgetary Goal Difficulty.

$$BPM = C + BVA + MB + SB + AB + \epsilon \quad (4)$$

BVA is Budgetary Variance Analysis.

$$BPM = C + BRF + MB + SB + AB + \epsilon \quad (5)$$

BRF is the Budgetary forecast.

$$BPM = C + BPE + MB + SB + AB + \epsilon \quad (6)$$

BPE is Budgetary Performance Evaluation.

8. Research Methodology

This study adopts a qualitative integrative-review design combined with a descriptive single-case analysis. An integrative review is appropriate because the research problem crosses several bodies of knowledge: entrepreneurship, household finance, insurance, MSME resilience, employee benefits, gender and financial inclusion. The purpose is conceptual explanation and practice-oriented synthesis rather than statistical estimation. The case component is used to examine how one Bangladeshi insurer frames and operationalises protection for entrepreneurs.

The primary source was the seven-page practitioner manuscript entitled Importance and Role of Life Insurance in Entrepreneurs' Lives. The document contains a general argument concerning insurance and entrepreneurship, a section on women entrepreneurs, and a case narrative concerning Astha Life Insurance Company Limited. It also refers to risk reduction, health expenditure, loan repayment, employee security, education, retirement, digital service, bancassurance and proposed credit protection. The source was treated as a practitioner perspective rather than as an independently validated empirical study.

Supporting material was selected purposively. Academic sources were included when they addressed the relationship between entrepreneurship and economic growth, risk management, life-insurance demand, financial literacy, SME resilience, women-owned firms or insurance for MSMEs. Institutional publications were drawn from organisations such as the Asian Development Bank, International Labour Organization, Bangladesh Bank, the Insurance Development and Regulatory Authority, SME Foundation and the World Bank. Publicly available Astha Life webpages were used to clarify company identity, stated mission and selected product features. Sources were prioritised for relevance, authority and traceability; promotional claims were not used as proof of causal impact.

The analysis followed four steps. First, the source manuscript was read repeatedly and divided into meaning units. Secondly, open codes were assigned to statements concerning risk, beneficiaries, product functions, distribution, trust and inclusion. Thirdly, related codes were grouped into thematic categories. The final categories were personal and family resilience; business continuity and credit protection; employee and key-person protection; women entrepreneurs; and trust, digitalisation and distribution. Fourthly, the themes were compared with the external literature to identify convergence, omissions and qualifications. This process generated the analytical tables and the results presented below.

The case analysis is bounded by important limitations. No interviews, customer survey, policy-level dataset, audited claim file or financial model was available. Company-specific rates reported in the source manuscript, including claim settlement, renewal and provider-network figures, are therefore described as company-reported and are not independently verified in this article. No comparison group is used, and no causal claim is made that purchasing life insurance increases business survival or productivity. The findings should be interpreted as a theoretically informed assessment of mechanisms and strategic relevance.

The study did not involve human participants, personal data or experimental intervention. Ethical attention was directed to accurate attribution, transparent treatment of evidence and avoidance of promotional overstatement. The revised manuscript preserves the source author's practical insights while adding critical distinctions concerning product scope, consumer protection and evidential limits.

Table-1
Analytical Coding Framework

Analytical theme	Core question	Evidence considered
Personal and family resilience	Does coverage prevent a household shock from consuming enterprise resources?	Income replacement, education, health costs, retirement and premium persistence
Business continuity and credit	Can benefits stabilise debt, liquidity, ownership and management transition?	Credit-life, key-person protection, succession and business-continuity planning
Employee and human capital	Does protection reduce vulnerability among workers and critical personnel?	Group benefits, retention, portability, key-person exposure and claims assistance
Women entrepreneurs	Are products and channels responsive to gendered constraints and roles?	Affordability, flexible payment, caregiving, finance access and sex-disaggregated outcomes
Trust and distribution	Can customers understand, maintain and claim the policy?	Claims reporting, digital service, bancassurance, agent conduct and complaint resolution

9. Results and Analysis

The thematic analysis produced five interrelated findings. Together, they show that the entrepreneurial value of life insurance arises not from a single benefit but from the way protection can stabilise connected household, financing, ownership and workforce systems. Table-1 summarises the principal risk pathways.

Table-2: Entrepreneurial Risk Pathways and Protection Responses

Risk event	Transmission to household and enterprise	Potential insurance response	Complementary action
Premature death of owner	Loss of family income, management disruption, debt stress and ownership uncertainty	Term life, credit-life, key-person or partnership cover	Will, succession plan, delegated authority and emergency records
Serious illness or hospitalisation	Medical expenditure, reduced working time and withdrawal of business cash	Health, hospital cash or critical-illness benefit	Emergency fund, health prevention and temporary management plan
Permanent disability	Long-term earnings loss and possible inability to manage the enterprise	Disability or accident rider with clearly defined triggers	Work redesign, rehabilitation and debt restructuring
Death of key employee	Loss of technical knowledge, customers or production capacity	Key-person cover owned by the enterprise	Cross-training, documentation and recruitment pipeline

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Death of key employee	Loss of technical knowledge, customers or production capacity	Key-person cover owned by the enterprise	Cross-training, documentation and recruitment pipeline
Death of borrower	Unpaid loan, pressure on family and lender loss	Credit-life cover linked to outstanding balance	Transparent loan terms and responsible collection practice
Employee death or accident	Family hardship, low morale and reputation risk	Group life, accident or health cover	Beneficiary records, claims support and occupational safety

9.1. Personal and family financial resilience

The first finding is that the entrepreneur's household is often the initial point at which business risk is absorbed. When the owner dies or becomes seriously ill, family income falls and expenditure rises. If savings are limited, the household may withdraw money from the enterprise, sell inventory or dispose of equipment. A life-insurance benefit can interrupt this transmission by providing cash for immediate consumption, education, debt and transition costs. The practical value depends on whether the sum assured is sufficient and whether the benefit is paid quickly to a correctly recorded nominee.

The source manuscript places strong emphasis on family security, children's education and old-age needs. The literature supports these functions but also suggests a need for product separation. Mortality protection, medical reimbursement, critical-illness benefits, savings and retirement income solve different problems. Entrepreneurs should therefore conduct a needs analysis rather than purchase a product solely because it combines many features. For low and irregular incomes, basic term or group protection may provide greater immediate coverage per unit of premium than a savings-heavy plan. Savings-linked products may still be appropriate where the customer understands the guarantees, charges and surrender conditions.

A further result is the importance of premium persistence. Entrepreneurs frequently experience seasonal or volatile cash flow. If premium dates do not match income cycles, policies may lapse before a claim occurs. Flexible payment channels, reminders, grace periods and simple reinstatement processes are therefore not merely service features; they determine whether protection remains in force. Digital payment through banking and mobile channels can reduce transaction cost, but customers must retain access to receipts, policy status and human assistance.

9.2. Business continuity, debt and ownership transition

The second finding concerns the enterprise itself. Life insurance can support continuity when it is connected to a defined business obligation. Credit-life insurance can settle or reduce an outstanding loan after the borrower's death or another covered event. Key-person insurance can provide the enterprise with liquidity after the loss of a founder or specialist. Partnership cover can fund a buy-sell agreement. In each case, the beneficiary and sum assured must correspond to the obligation. A general family policy may not supply funds to the business, while a lender-beneficiary policy may protect the bank without providing residual support to the family.

The source manuscript proposes a 'Credit Shield' concept for small loans from banks, non-government organisations and microfinance institutions. The concept is strategically relevant because borrower death can impose hardship on families and create credit losses. Responsible implementation would require declining cover aligned with the outstanding balance, clear disclosure of the premium and beneficiary, simple enrolment, fair exclusions, and prompt communication with both lender and nominee. Coverage for disability should specify the degree and duration of incapacity that triggers payment. Where the product is compulsory, supervisory attention to price and value becomes especially important.

Life insurance can also improve succession readiness, but only when supported by governance. Many small firms have no written delegation of authority, ownership agreement, will, emergency contact list or documented access to accounts. Insurance proceeds cannot substitute for these arrangements. The evidence therefore indicates a complementary model: insurance provides liquidity, while succession and business-continuity planning determine how that liquidity is used. Insurers, banks and SME-support organisations could add simple continuity templates and beneficiary reviews to their advisory services.

9.3. Key-person and employee welfare

The third finding is that entrepreneurial resilience includes the people on whom the enterprise depends. The source manuscript argues that employee life coverage creates employment security and can support productivity. The analytical review refines this claim. Group protection can improve the employment proposition and reduce the financial consequences of death, accident or hospitalisation, but any effect on productivity is mediated by employee understanding, perceived fairness and claim experience. The appropriate outcome indicators include retention, absenteeism, employee satisfaction, claim usage and recruitment cost rather than an assumed direct increase in output.

For the smallest enterprises, affordability and administration are major constraints. Sector associations, supply-chain anchors, cooperatives and digital platforms may be able to aggregate workers into groups. Simplified underwriting and mobile enrolment can reduce cost, while employer and employee contributions can share the premium. Portability would prevent immediate loss of protection when a worker changes employment. Particular attention is required for informal workers, part-time staff and women whose employment histories may be discontinuous.

Key-person cover emerged as a separate requirement. The death of a founder is not identical to the death of an employee because it may affect authority, customer confidence, technical knowledge and loan guarantees simultaneously. A basic key-person assessment should identify critical roles, estimate the time and cost of replacement, and determine whether the enterprise or family should receive the benefit. This analysis converts an abstract concern into an insurable financial amount.

9.4. Women entrepreneurs

The fourth finding is that insurance can support women entrepreneurs only when it reflects their intersecting household and business roles. The source manuscript correctly observes that women may face simultaneous responsibilities as business owners, spouses, mothers and carers. These responsibilities can intensify the effect of illness or death. Coverage on the woman entrepreneur should therefore value both market income and unpaid work. Coverage on other household earners may also protect the business by preventing household shocks from consuming enterprise capital.

The Astha Life case refers to a women-focused product and to efforts to recognise women entrepreneurs. Such initiatives can increase visibility, but sustained impact requires measurable access and service. Relevant indicators include the number and share of women policyholders, average coverage relative to income, rural participation, policy persistence, claim approval, settlement time and complaint outcomes. Sales materials should explain exclusions and benefit triggers in plain language. Women agents and community-based service points may improve trust where social norms make access to conventional sales channels difficult.

The analysis also identifies a design opportunity at the intersection of credit, health and digital commerce. Many women-owned microenterprises operate through social media, home production or small retail. Their cash flow may be irregular and their assets intertwined with the household. Modular cover with small premiums, flexible payment and optional hospital, disability or credit components may be more appropriate than a single high-premium long-term policy. Product testing should involve women entrepreneurs from different regions and sectors rather than relying solely on internal assumptions.

9.5. Trust, digital service and institutional distribution

The fifth finding is that trust is an operational outcome. The source manuscript presents Astha Life's ownership by Army Welfare Trust, digital transactions and stated claim practices as differentiators. Institutional reputation can lower the initial credibility barrier, but continued trust depends on contract performance. Transparent reporting should distinguish claims intimated, claims with complete documents, claims approved, claims paid, claims rejected and claims pending. Ratios should be presented both by number and by amount, and settlement time should be measured from clearly defined dates.

Digital channels can support transparency by enabling policyholders to view premium status, benefits, nominee details and claim progress. Integration with mobile financial services may improve premium collection and reduce cash-handling risk. The case therefore illustrates how technology can strengthen persistence and service. However, digitalisation should not remove access for customers who need assistance. Call centres, branch support, verified agents and accessible complaint channels remain necessary, particularly for nominees who may be unfamiliar with the policy after the insured's death.

Bancassurance offers another route to scale. Entrepreneurs already interact with banks for deposits, payments and loans, so the bank can become a convenient distribution point. The result is most positive when the insurance product is linked to a documented need rather than a sales target. Banks and insurers should share responsibility for suitability, training, data protection, complaint resolution and post-sale service. Regulators can support confidence by requiring standardised disclosures and comparable performance indicators.

9.6. An integrated entrepreneurial protection architecture

Across the five themes, the results indicate that life insurance is most effective when embedded in an integrated protection architecture. The first layer is prevention and governance: health and safety practices, delegated authority, records, cyber hygiene and succession arrangements. The second layer is retained liquidity through emergency savings and accessible credit. The third layer is insurance for events whose financial severity exceeds the firm's capacity to retain them. The fourth layer is post-event assistance, including claims support, debt restructuring and temporary management.

This layered approach prevents two common errors. The first is under-insurance, in which a nominal policy creates confidence but provides too little benefit to preserve the household or enterprise. The second is over-reliance, in which the owner expects life insurance to cover market, property or operational losses outside the contract. A periodic review can align sums assured, beneficiaries and riders with changes in debt, family dependency, ownership and workforce. Insurers can encourage this discipline by providing an annual entrepreneurial protection statement that separates household, business, credit and employee needs.

Table-3
Astha Life Case: Strategic Relevance and Evidence Requirements

Case feature	Entrepreneurial relevance	Analytical qualification / evidence need
Army Welfare Trust ownership and stated values	May reduce the initial trust barrier and support institutional credibility	Reputation should be supported by audited performance and consistent customer experience
Digital premium payment and policy tracking	Reduces transaction cost and improves visibility of policy status	Requires data protection, system reliability and non-digital assistance

Case feature	Entrepreneurial relevance	Analytical qualification / evidence need
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Digital premium payment and policy tracking	Reduces transaction cost and improves visibility of policy status	Requires data protection, system reliability and non-digital assistance
Hospitalisation cover and provider network	Can protect working capital from health expenditure	Network size, exclusions, waiting periods and cashless service performance should be verified
Education and women-focused products	Addresses family continuity and gender-responsive protection needs	Impact requires data on affordability, persistence, claims and actual beneficiary outcomes
Bancassurance and mobile-finance integration	Potentially expands access through familiar financial channels	Suitability, disclosure, staff incentives and complaint ownership must be controlled
Proposed credit protection	Could protect lenders and families after borrower death or disability	Policy wording, beneficiary rules, pricing and treatment of loan surplus require clarity

10. Discussion

The findings support the central proposition that life insurance can strengthen entrepreneurial resilience by limiting the financial spillover from personal shocks. The mechanism is especially strong in owner-managed firms because the entrepreneur's human capital, household income and business control are concentrated in one person. A mortality or disability event can therefore produce correlated losses: the family loses income, the firm loses leadership and the lender loses repayment capacity. Insurance can supply liquidity across this transition, but the allocation of the benefit must be planned. The same policy cannot automatically satisfy the family, business partners, employees and lender unless its structure and beneficiary arrangements are designed for those purposes.

The analysis also clarifies the relationship between risk reduction and entrepreneurial initiative. Insurance does not make a weak business model viable, nor does it insure against ordinary market competition. Its contribution is narrower and more defensible: it protects against defined low-frequency, high-severity events that could force an otherwise viable enterprise to close. This can reduce the amount of precautionary capital held against personal contingencies and may increase confidence to invest. Demonstrating such behavioural and performance effects in Bangladesh would require longitudinal research comparing insured and uninsured entrepreneurs while controlling for income, education, sector and firm size.

For insurers, product design should begin with the entrepreneur's cash-flow cycle and risk map. MSME customers are not a uniform segment. A sole trader with a small retail outlet, a technology start-up with external investors, a family manufacturing firm and a woman operating a home-based online business face different obligations. Modular designs can allow customers to combine term life, accident, hospital, critical-illness, credit and savings features without obscuring their separate prices and triggers. Plain-language benefit illustrations and exclusions are necessary because complexity undermines trust and increases the risk of lapse or rejected claims.

For banks and microfinance providers, credit-life insurance can protect portfolio quality and borrower households, but it must be governed as a consumer-protection product rather than merely a risk-transfer device for the lender. Premiums should be proportionate, cover should follow the outstanding balance, and borrowers should receive a certificate explaining the insurer, term, events covered, claims process and beneficiary. Where a claim exceeds the remaining debt, the treatment of the surplus should be stated. Staff incentives should not encourage compulsory bundling of unsuitable products.

For employers and business associations, group insurance can become part of a broader decent-work and resilience strategy. The greatest value is likely to arise when cover is accompanied by beneficiary registration, claims assistance, health education and continuity planning. Aggregation through associations may lower administrative cost, while digital platforms can maintain member records. The approach may be particularly useful in sectors with many small employers that cannot independently negotiate group schemes. Regulators should ensure that group members receive evidence of cover and are not dependent on a single intermediary for claim information.

For women entrepreneurs, the discussion reinforces the need to move beyond symbolic product labelling. Gender-responsive protection should be grounded in evidence about income patterns, caregiving, access to phones and accounts, health needs, mobility and financial decision-making. Distribution partnerships with women's business networks, e-commerce platforms and SME Foundation programmes could improve reach. Impact should be assessed through protection outcomes, not merely policy counts. A policy that lapses after a few months or provides an inadequate sum assured does not constitute meaningful inclusion.

The Astha Life case is valuable because it illustrates an institutional response to distrust through ownership identity, digital service, cashless transactions and product diversification. At the same time, the case reveals a general challenge in practitioner writing: service claims are often presented without denominator, period, audit basis or comparison. A credible journal and policy discourse requires verifiable data. Astha Life and other insurers could publish annual customer-value reports covering claims, lapses, complaints, turnaround time, gender, geography and channel. Independent assurance would further strengthen credibility.

At the policy level, insurance should be integrated into entrepreneurship development rather than treated as an isolated financial product. Business training often covers marketing, bookkeeping and credit but gives limited attention to mortality, disability, succession and employee risk. A simple enterprise risk module could help owners identify catastrophic exposures and compare insurance with emergency funds and preventive action. Tax incentives may support uptake, but incentives should not favour expensive products regardless of value. Regulatory attention should focus on solvency, fair sales, disclosure, claims and accessible redress.

The study also has implications for sustainable development. Financial protection can help households avoid distress sales, high-cost borrowing and interruption of children's education after a shock. Group protection can extend social security to workers outside formal schemes. Credit-life cover can reduce harassment or financial pressure on bereaved families when properly designed. These pathways connect insurance with poverty reduction, health, education, gender equality, decent work and inclusive growth. Nevertheless, insurance is not a substitute for public health systems, social protection or sound enterprise policy. It is one layer within a broader resilience architecture.

Several limitations constrain the conclusions. The analysis is based on secondary sources and one company-focused manuscript. It does not measure customer demand, willingness to pay, claim satisfaction or enterprise survival. Company-specific information may change, and the exact legal classification of some product features requires confirmation from approved policy documents. Future research should use surveys and administrative data to estimate coverage gaps among Bangladeshi entrepreneurs, test the determinants of policy persistence, compare women and men entrepreneurs, and evaluate whether credit-life or group cover improves recovery after shocks. Qualitative interviews with claimants would provide particularly valuable insight into the customer journey.

Table-4: Recommended Actions for Responsible Entrepreneurial Insurance

Stakeholder	Priority actions
Entrepreneurs	Estimate income-replacement and debt needs; separate family and business beneficiaries; keep emergency savings; review nominees; document succession and continuity plans.
Insurers	Offer modular affordable products; align premiums with cash flow; publish claims and lapse metrics; test products with MSMEs and women entrepreneurs.

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Insurers	Offer modular affordable products; align premiums with cash flow; publish claims and lapse metrics; test products with MSMEs and women entrepreneurs.
Banks and MFIs	Apply suitability checks; disclose premiums and beneficiaries; align cover with the loan balance; assist bereaved families with claims.
Employers and associations	Aggregate group cover; maintain beneficiary records; explain benefits; support claims; combine insurance with safety and continuity training.
Regulators and public agencies	Strengthen disclosure, claims supervision, redress and data reporting; add insurance literacy to entrepreneurship programmes; enable responsible digital and bancassurance channels.

11. Conclusion

Entrepreneurs accept uncertainty in order to create value, but they should not be required to retain every financial consequence of death, disability or serious illness. Life insurance can convert selected catastrophic personal risks into planned premium obligations and contingent benefits. In owner-managed enterprises, this protection can stabilise the household, preserve working capital, support debt repayment, finance ownership transition and protect employees. Its importance is therefore both personal and economic.

The Bangladesh context increases the relevance of this function while also exposing the conditions required for success. Products must be affordable for irregular cash flows, benefits must match real obligations, exclusions must be understandable and claims must be settled reliably. Digital payments, policy tracking and bancassurance can widen access, but they must be combined with human assistance, data protection and safeguards against mis-selling. Women entrepreneurs require evidence-based, flexible designs that recognise both paid and unpaid economic contributions.

The Astha Life case illustrates a strategy built around institutional trust, digital operation, health-linked protection, education-oriented products and potential credit cover. These initiatives are aligned with important entrepreneurial needs. Their wider significance will depend on transparent and independently verifiable performance, particularly in claim settlement, policy persistence, customer value and inclusion. The case should therefore be understood as a promising practice model and a basis for evaluation rather than conclusive evidence of impact.

For entrepreneurs, the practical recommendation is to treat life insurance as one component of an enterprise risk portfolio. Coverage should be integrated with emergency savings, non-life insurance, debt management, beneficiary review, succession arrangements and a written business-continuity plan. For insurers and policymakers, the priority is to design protection around customer risk rather than product sales. When those principles are followed, life insurance can contribute to resilient enterprises, secure families and more inclusive economic development.

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